Balance Sheet as on 31st December, 2016

Liabilities	₹	₹	Assets	₹	₹
			Sundry debtors	1,50,000	
			Less: Provision for bad and doubtful debts	7,500	1,42,500

Tutorial note

When provision already exists and appears in trial balance, the accounting treatment is as below:

1. If the provision required at the end plus the bad debts written off, is higher than the existing provision, the difference amount will be created as provision in the current year and will appear on the debit side of profit and loss account.
2. If the provision required at the end plus bad debts written off, is lesser than the existing provision, the excess is written back and will appear on the credit side of profit and loss account.

The journal entries are:

(a) For bad debts written off			
Bad debts A/c	Dr.	xxx	
To Debtors A/c			xxx
(b) For transferring bad debts			
Provision for doubtful debts A/c	Dr.	xxx	
To Bad debts A/c			xxx
(c) For creating provision to the extent of difference			
Profit and Loss A/c	Dr.	xxx	
To Provision for doubtful debts A/c			xxx
(d) For writing back provision to the extent of difference			
Provision for doubtful debts A/c	Dr.	xxx	
To Profit and Loss A/c			xxx

(xiii) Provision for discount on debtors

Cash discount is allowed by the suppliers to customers for prompt payment of amount due either on or before the due date. A provision created on sundry debtors for allowing such discount is called provision for discount on debtors. This provision is a charge against profit and hence profit and loss account is debited.

Provision for discount on debtors is made on the basis of past experience at an estimated rate on sundry debtors. Discount should be calculated on sundry debtors after deducting bad debts and provision for bad debts.

Adjusting entry

Particulars		L.F.	Debit ₹	Credit ₹
Profit and loss A/c	Dr.		xxx	
To Provision for discount on debtors A/c				xxx
(Provision for discount on debtors created)				

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